

Daily Multibagger Coverage Report — 2026-09-20

One stock picked at random, without repeats until each list cycles through, from four market-cap bands. **Nifty 50 is a reliable list; the Midcap 100 / Smallcap 250 / Microcap 250 lists are hand-curated representative samples, not a live scrape of the official NSE index membership** — those official sources were unreachable from this environment. Every figure below is tagged by the framework's own Tier 1-5 source hierarchy in the underlying dossier files; most of today's figures are Tier 3 (aggregator-via-search) or Tier 5 (reconstructed/approximate), **not** Tier 1/2 verified. Treat this as a directional screen, not investment research.

Nifty 50 — ITC Limited (ITC.NS)

FMCG / Diversified Conglomerate (Cigarettes, FMCG-Others, Agri, Paperboard)

`` FINAL CALL: WATCH Compounder tier: WATCH Engine verdict: WEAK — consolidated gates passed [3 of 10] Return bridge (N1): 3.0x / 5yrs = 24.6% p.a. -> EPS CAGR 16.5% x re-rating 6.9% | earnings share 69.5% Engine growth (5e): ROIIC -8.9% x RR 3.5% = -0.3% vs 16.5% required revenue-driven CAGR — FAILS Moat class (5b): WIDE — MATM anchor applied 1.50x Runway/profit pool (6B): No addressable profit pool stated — cannot evidence gate Industry phase (6A): MATURE + share-flat — caps at Steady Compounder MQF governance: ACCEPTABLE (81.5/100) Price vs bridge: ABOVE Failed gates: Engine growth, Payout ceiling, Runway/profit pool, Industry phase, Return bridge closes, Variant perception, MQF governance ``

Why: Two good methodological catches. The agent anchored on FY2026 as the cleanest post-demerger year (ITC Hotels demerged Jan-2025) and flagged FY2025 as a non-comparable transition year distorted by a one-off demerger gain, rather than smoothing it into the series. Cigarette pricing power was rated AMBER/ERODING, not reflexively GREEN, given the Feb-2026 flat-40%-GST-plus-new-excise shock that S&P Global calls a genuine medium-term earnings issue. Also worth noting: ITC's 0% promoter holding is a real structural fact (no promoter category exists; BAT's ~22.9% stake is classified FII), correctly flagged as not a governance red flag of the usual kind. No credible mispricing case in either direction — N7 honestly unanswered.

Data quality: Well-sourced (Tier 3, 3+ independent sources): FY22-26 revenue/PAT, FY26 EBITDA, price/market cap, the GST/excise tax-shock details. Flagged Tier 5: full balance-sheet series — applying the schema's ROCE formula to ITC's cash-rich, low-leverage reconstructed balance sheet produces an implausible >100% ROCE, the same known artifact already documented for Nestle India.

Nifty Midcap 100 (sample) — REC Limited (RECLTD.NS)

Financials — Power-Sector Infrastructure NBFC (Government-owned)

`` FINAL CALL: WATCH Compounder tier: WATCH Engine verdict: WEAK — consolidated gates passed [6 of 10] Return bridge (N1): 2.0x / 5yrs = 14.9% p.a. -> EPS CAGR 4.5% x re-rating 9.9% | earnings share 31.9% Engine growth (5e): ROIIC 23279.2% x RR 0.1% = 15.0% vs 4.5% required revenue-driven CAGR — CLEARS (BFSI artifact) Moat class (5b): WIDE — MATM anchor applied 1.50x Runway/profit pool (6B): No addressable profit pool stated — cannot evidence gate Industry phase (6A): INFLECTION — clears MQF governance: ACCEPTABLE (71.0/100) Price vs bridge: BELOW Failed gates: Runway/profit pool, Return bridge closes, Variant perception, MQF governance ``

Strongest gate-clearance of the week (6/10) — but the most decision-relevant fact isn't a gate at all: the Government of India and both boards have approved merging REC into Power Finance Corporation (88:100 share swap, targeted

effective 1 April 2027). If completed, RECLTD.NS ceases to exist as a standalone listed entity well inside any multi-year holding horizon this framework contemplates — independent of the underlying business's quality. Moat correctly rated weak on pricing power (REC's spread is policy-set via RDSS/DDUGJY concessional financing, not earned) despite real scale. **A second BFSI framework gap found today:** the Irani "Accounting Gap" (PAT>OCF) and "Leverage Trap" checks have no BFSI carve-out — REC's OCF is deeply negative every year because loan disbursement is an operating activity under Ind AS for a financial company, which is sector-normal, not an earnings-quality problem, but the current code doesn't know that (mirrors the G1 gap already fixed in v2.2; this one remains open).

Data quality: Well-sourced (Tier 3): FY24-26 total income, FY26 PAT, NPA trend, CRAR, promoter (government) holding, loan book size, the REC-PFC merger terms/timeline. Flagged Tier 5: pre-FY24 series and most balance-sheet detail.

Nifty Smallcap 250 (sample) — Bank of India (BANKINDIA.NS)

Financials — Public Sector Bank

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`` FINAL CALL: WATCH Compounder tier: WATCH Engine verdict: WEAK — consolidated gates passed [2 of 10] Return bridge (N1): 2.0x / 5yrs = 14.9% p.a. -> EPS CAGR 7.5% x re-rating 6.8% | earnings share 52.3% Engine growth (5e): ROIIC 64.4% x RR 5.7% = 3.7% vs 7.5% required revenue-driven CAGR — FAILS Moat class (5b): WIDE — MATM anchor applied 1.50x Runway/profit pool (6B): No addressable profit pool stated — not scored for a lender Industry phase (6A): MATURE + share-flat — caps at Steady Compounder MQF governance: ELEVATED (64.5/100) — Stage 2 sizing capped at WATCHLIST Price vs bridge: BELOW Failed gates: Engine growth, Moat trajectory, Runway/profit pool, Industry phase, Promoter alignment, Return bridge closes, Variant perception, MQF governance ``
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This week's fourth PSU bank, deliberately checked against the others rather than treated generically.

Specifically confirmed BOI does **not** share IOB's live minimum-public-shareholding problem — government holding ~73.38%, below the 75% ceiling, and BOI was not among the four banks (IOB, UCO, Punjab & Sind, Central Bank) reported seeking a further deadline extension. Its ~20-country overseas branch network earned the one moat upgrade (efficient_scale AMBER vs. IOB's RED). Trades at a *discount* to the Nifty PSU Bank index (~6.3x P/E vs ~7.4x) — the opposite of IOB's premium — but a real, disclosed FY22 RBI provisioning-divergence flag (Rs1,819Cr) and a declining CASA ratio (40.28%→37.64%) mean this reads as a fair discount for genuine weaknesses, not neglect. N7 honestly unanswered.

Data quality: Well-sourced (Tier 3): FY22-26 PAT, gross/net NPA trend, CRAR, CASA trend, dividend history, the MPS-compliance finding. Flagged Tier 5: pre-FY25 revenue and the full balance-sheet series.

Nifty Microcap 250 (sample) — RHI Magnesita India Limited (RHIM.NS)

Industrials — Refractories (Steel/Cement/Glass, global-parent technology relationship)

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`` FINAL CALL: WATCH Compounder tier: WATCH Engine verdict: WEAK — consolidated gates passed [3 of 10] Return bridge (N1): 2.5x / 5yrs = 20.1% p.a. -> EPS CAGR 20.1% x re-rating 0.0% | earnings share 100.0% Engine growth (5e): ROIIC -0.7% x RR 51.3% = -0.4% vs 20.1% required revenue-driven CAGR — FAILS Moat class (5b): MODERATE — MATM anchor applied 1.25x Runway/profit pool (6B): No addressable profit pool stated — cannot evidence gate Industry phase (6A): MATURE + share-flat — caps at Steady Compounder MQF governance: ACCEPTABLE (68.5/100) Price vs bridge: ABOVE Failed gates: Engine growth, ROIIC floor, Payout ceiling, Runway/profit pool, Industry phase, Variant
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perception, MQF governance ``

Confirmed real, unambiguous identity (formerly Orient Refractories, ~56.1% owned by global parent RHI Magnesita N.V.) — no ticker-confusion risk this time, unlike Tuesday's Mahamaya Steel case. The agent actively tested a "market overreacts to a one-off non-cash impairment" thesis (FY26 posted a Rs382.94Cr reported loss driven by a Rs556-661Cr goodwill/investment writedown) and rejected it on the evidence: even on *adjusted* FY26 PAT looking through the impairment, the stock is still ~45-49x — not obviously cheap. Two of the last five fiscal years posted net losses, inconsistent with a strong moat claim despite real switching-cost evidence from plant-qualification cycles.

Data quality: Well-sourced (Tier 3): FY22-26 revenue, several years of PAT/EBITDA, the impairment details, promoter holding, D/E. Flagged Tier 5: FY23 PAT and the full balance-sheet series.

Today's summary

Band	Stock	Engine verdict	Compounder tier	Final call
Nifty 50	ITC	WEAK	WATCH	WATCH
Midcap 100 (sample)	REC Limited	WEAK (6/10, clears engine+industry)	WATCH	WATCH
Smallcap 250 (sample)	Bank of India	WEAK	WATCH	WATCH
Microcap 250 (sample)	RHI Magnesita India	WEAK	WATCH	WATCH

Eighth day, eighth day with no BUY/ACCUMULATE. Today added a second real framework gap to the running list (the Irani Accounting-Gap/Leverage-Trap checks have no BFSI carve-out, mirroring the G1 gap already fixed) and a structural fact no gate captures at all — REC's pending merger into PFC, which matters for holding-period viability independent of business quality. Both are exactly the kind of finding this coverage cycle exists to surface.

Full dossiers with per-field source tiers: `multibagger/sample_data/daily/{ITC,RECLTD,BANKINDIA,RHIM}.json`.